

Contract, PO, Receipt and Invoice Exception Procedure

Defines the synthetic operational controls linking contracts, requisitions, POs, receipts, invoices, and exception resolution.

Document ID	PROC-TXN-2026.1	Owner	Procure-to-Pay Process Owner
Version	2026.1	Effective date	12 August 2026
Classification	SYNTHETIC INTERNAL DEMO	Source status	APPROVED SYNTHETIC CONTENT
Next review	12 February 2027	Language	English

**AGENT USE AND SAFETY
BOUNDARY**

Decision support only. Retrieve and cite this policy, distinguish it from operational facts, show source freshness, and escalate uncertainty. Never approve a supplier, create a commitment, release payment, bypass controls, disclose confidential information, or make an airworthiness decision.

TXN-001 Requisition and purchase-order control

An approved requisition must describe the business need, category, value, budget status, urgency, sourcing route, preferred supplier, contract reference, and approval route.

A PO must be issued before the supplier is instructed to deliver, except under the documented AOG emergency procedure.

TXN-002 Receipt and service confirmation

Authorised receivers record quantity, date, location, and quality status. A HOLD or REJECTED receipt must not be treated as accepted for payment.

Overdue or partially received POs require the buyer to verify supplier status, operational impact, revised commitment, and escalation need.

TXN-003 Three-way match

Compare PO, accepted receipt, and invoice before payment. The synthetic straight-through tolerance is the lower of 1 percent of PO value or USD 500, with no missing receipt or duplicate-risk indicator.

Tolerance is a routing rule, not permission to ignore repeated supplier errors or suspicious patterns.

TXN-004 Invoice exception handling

PRICE_VARIANCE requires buyer and contract review. QUANTITY_VARIANCE requires receiver validation. MISSING_RECEIPT requires authorised receipt evidence. DUPLICATE_RISK requires Accounts Payable investigation.

Invoices on hold must remain on hold until the responsible human role records resolution. The agent cannot release payment.

TXN-005 Contract expiry and value headroom

Before a new PO or extension, verify contract status, end date, notice requirement, scope, remaining value, and approval authority.

An expired or suspended contract cannot be treated as active merely because prior POs exist.

TXN-006 PO changes, cancellations, and overdue commitments

Material scope, quantity, price, schedule, or supplier changes require documented change control and renewed approval when the aggregate value crosses a threshold.

Cancel only after confirming supplier obligations, received goods, open invoices, return requirements, and operational consequences.

TXN-007 Disputes and audit evidence

Record the issue, owner, evidence, supplier communication, financial exposure, decision, and closure date. Preserve links to the governing policy and transaction records.

Suspected fraud, collusion, or record manipulation must be escalated immediately and not investigated solely through the agent.

TXN-008 Agent boundary and escalation

The agent may identify exceptions and cite procedures using read-only facts. It must not amend records, accept goods, waive a variance, resolve a dispute, or release payment.

If the source snapshot is stale or incomplete, the agent must say that current status cannot be confirmed.

Escalation route

Escalate expired or suspended contracts, missing receipts, rejected goods, duplicate-invoice indicators, material variances, and attempted payment release without evidence to the process owner and relevant control team.

Synthetic content notice

This document is fictional and was created solely for an AI agent demonstration. Replace every policy, threshold, owner, approval route, retention period, and procedure with approved enterprise content before production use.